

Court No. - 4

Case :- U/S 482/378/407 No. - 438 of 2007

Petitioner :- Ashok Garg

Respondent :- State Of U.P.And Another

Petitioner Counsel :- Raghvendra Singh

Respondent Counsel :- Govt.Advocate

Hon'ble Ravindra Singh,J.

Heard Sri Raghvendra Singh assisted by Sri R.S.Shisodia.

This application requires a counter affidavit from the side of U.P.Power Corporation. It is informed by learned A.G.A. that Sri Amar Jeet Singh Rakhra is appearing on behalf of U.P. Power Corporation.

List on 23.5.2013 showing the name of Sri Amar Jeet Singh Rakhra as counsel for U.P.Power Corporation.

Till then, the interim order is extended.

Order Date :- 15.5.2013

Su

Court No. - 28

Case :- U/S 482/378/407 No. - 438 of 2007

Petitioner :- Ashok Garg

Respondent :- State Of U.P.And Another

Petitioner Counsel :- Raghvendra Singh

Respondent Counsel :- Govt.Advocate,Amarjeet Singh Rakhra

Hon'ble Surendra Vikram Singh Rathore,J.

Mr. Raghvendra Singh, learned counsel for the applicant is reported to be out of station, as such, the case is adjourned.

The matter pertains to the year 2007, list this matter immediately after summer vacation.

Interim order, if any, to continue till then.

It is made clear that no further adjournment shall be granted to either of the parties on the next date of hearing. In case any adjournment is made on behalf of the applicant, interim order, if any, shall automatically stand vacated.

Order Date :- 23.5.2013

Virendra

Court No. - 25

Case :- U/S 482/378/407 No. - 438 of 2007

Applicant :- Ashok Garg

Opposite Party :- State Of U.P.And Another

Counsel for Applicant :- Raghvendra Singh

Counsel for Opposite Party :- Govt.Advocate,Amarjeet Singh
Rakhra

Hon'ble Ravindra Nath Mishra-II,J.

Sri Raghvendra Singh, learned counsel for the applicant is reported to be out of station.

List in the next cause list.

Order Date :- 6.1.2017

Arvind

Court No. - 15

Case :- U/S 482/378/407 No. - 438 of 2007

Applicant :- Ashok Garg

Opposite Party :- State Of U.P.And Another

Counsel for Applicant :- Raghvendra Singh

Counsel for Opposite Party :- Govt.Advocate,Amarjeet Singh Rakhra

Hon'ble Anil Kumar Srivastava-II,J.

1. Sri Anurag Kumar Singh, Advocate filed power on behalf of the petitioner is taken on record.
2. Name of Sri Anurag Kumar Singh, be printed in the cause list as counsel for the petitioner.
3. This petition under Section 482 Cr.P.C. has been filed in the year 2007 wherein interim order was issued in favour of the petitioner on 23.2.2007 whereby the proceedings of the trial court were stayed. Petitioner is enjoying interim order last about ten years.
4. Since, today power of a new counsel has been filed.
5. List on 14.2.2017.
6. No further adjournment shall be granted.

Order Date :- 9.2.2017

Subodh/-

Court No. - 15

Case :- U/S 482/378/407 No. - 438 of 2007

Applicant :- Ashok Garg

Opposite Party :- State Of U.P.And Another

Counsel for Applicant :- Raghvendra Singh

Counsel for Opposite Party :- Govt.Advocate,Amarjeet Singh Rakhra

Hon'ble Anil Kumar Srivastava-II,J.

Learned counsel for the petitioner Sri Anurag Kumar Singh submits that in view of Section 151 of the unamended Electricity Act, 2003, cognizance itself on the basis of the first information report is bad in law, as a complaint is to be filed under Section 135 of Electricity Act.

Sri Amarjeet Singh Rakhra, learned counsel for opposite party no.2, fairly, submits that the amendment in Section 151 of Electricity Act was incorporated with effect from 15.6.2007 but he sought time to verify about the transition period, as earlier also there was a provision for lodging of F.I.R.

On the request of Sri Rakhra, list on 20.02.2017.

Order Date :- 14.2.2017

kvg/-

Court No. - 15

Case :- U/S 482/378/407 No. - 438 of 2007

Applicant :- Ashok Garg

Opposite Party :- State Of U.P.And Another

Counsel for Applicant :- Raghvendra Singh,Anurag Singh

Counsel for Opposite Party :- Govt.Advocate,Amarjeet Singh Rakhra

Hon'ble Anil Kumar Srivastava-II,J.

Sri Amarjeet Singh Rakhra, learned counsel for opposite party has placed reliance upon the Case of ***Vishal Agrawal and Another vs. Chhattisgarh State Electricity Board and another, (2014) 3 Supreme Court Cases 696.***

Sri Anurag Singh, learned counsel for the petitioner sought time to look into the legal aspect.

List on 27.2.2017 peremptorily.

Order Date :- 20.2.2017

Subodh/-

Court No. - 15

Case :- U/S 482/378/407 No. - 438 of 2007

Applicant :- Ashok Garg

Opposite Party :- State Of U.P.And Another

Counsel for Applicant :- Raghvendra Singh,Anurag Singh

Counsel for Opposite Party :- Govt.Advocate,Amarjeet Singh Rakhra

Hon'ble Anil Kumar Srivastava-II,J.

On the request of Shri Ravi Prakash Singh holding brief of Shri Anurag Singh, learned counsel for the petitioner, list on 01.03.2017.

Order Date :- 27.2.2017

GSY

Court No. - 12

Case :- U/S 482/378/407 No. - 438 of 2007

Applicant :- Ashok Garg

Opposite Party :- State Of U.P.And Another

Counsel for Applicant :- Raghvendra Singh,Anurag Singh

Counsel for Opposite Party :- Govt.Advocate,Amarjeet Singh Rakhra

Hon'ble Pratyush Kumar,J.

As prayed by learned counsel for the applicant, list in the next cause list.

Order Date :- 1.3.2017

psd

Court No. - 15

Case :- U/S 482/378/407 No. - 438 of 2007

Applicant :- Ashok Garg

Opposite Party :- State Of U.P.And Another

Counsel for Applicant :- Raghvendra Singh,Anurag Singh

Counsel for Opposite Party :- Govt.Advocate,Amarjeet Singh Rakhra

Hon'ble Anil Kumar Srivastava-II,J.

Heard Shri Anurag Singh, learned counsel for the petitioner and Shri Amarjeet Singh Rakhra, learned counsel for the opposite party.

Judgment reserved.

Order Date :- 20.3.2017

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Reserved

Criminal Misc. Case No. 438 of 2007 (U/s 482 Cr.P.C.)

Ashok Garg , son of Sri Jugul Kishore Garg,
Resident of 54/10, Nayaganj, Police Station,
Collectorganj, Kanpur.

.....Petitioner

Vs.

1. State
2. Sri Avinash Chandra Pandey,
Incharge Inspector Enforcement Cell,
Lucknow Zone, U.P. Power Corporation Limited,
Ashok Marg, Police Station Hazratganj, Lucknow.

.....Opposite parties.

XXX

Hon'ble Anil Kumar Srivastava-II,J.

1. Heard Shri Anurag Singh, learned counsel for the petitioner, Shri Amarjeet Singh Rakhara, learned counsel for opposite party no. 2 and perused the record.

2. Instant petition under section 482 Cr.P.C. has been filed with the prayer to quash the impugned charge-sheet no. 349 of 2005 dated 30.10.2005 arising out of case crime no. 1474 of 2005 under section 135 of Electricity Act, 2003 (hereinafter referred to as the 'Act'), Police Station Kotwali, District Unnao and also summoning order dated 30.10.2006

passed by the Special Judge (E.C.Act), Unnao in Special Trial No. 06 of 2006 State Vs. Ashok Garg and others.

3. On 29.8.2005, a raid was conducted by Electrical Enforcement Department under the leadership of Mohd. Manjoor Alam Khan, Assistant Engineer, Enforcement at Radhey Solvent Premises at about 1.00 p.m. Electric meter was checked wherein tampering was found. Meter was sealed. Accused Ashok Garg, owner of M/s Radhey Solvent Factory absconded from the scene of occurrence. It was an offence under section 135 of the Act and Rule 12 of Electricity Rules, 2005. Thereafter the electric connection of M/s Indo Prosoya Food Private Limited Unit no. 1, Akarampur Unnao was checked wherein tampering was also found in the meter. Memo was prepared. On the basis of memo, first information report was lodged at police station Kotwali, District Unnao at case crime no. 1475 of 2005 under section 135 of the Act. Matter was investigated. After investigation, charge-sheet was submitted against petitioner.

4. Learned counsel for the petitioner submits that the charge-sheet has been filed against law. Initially

learned counsel has placed reliance upon section 151 of Electricity Act, 2003 and submitted that a complaint should have been filed but the charge-sheet is submitted, which is against law.

5. It is further submitted that investigating Officer has failed to consider that shares of the company namely; M/s Garg India Limited are transferred to new company namely; M/s Indo Prosoya Food Private Limited, Akarampur Unnao. It is further submitted that the petitioner has already resigned from the post of Director. It is further submitted that the petitioner could not be held liable for criminal liability as neither he was Director of the new company nor he was present at the spot. He had no concern to the new company.

6. Learned counsel has placed reliance upon **Sunil Bharti Mittal Vs. Central Bureau of Investigation (2015) 4 SCC 609, S.M.S. Pharmaceuticals Ltd. Vs. Neeta Bhalla and another (2005) 8 SCC 89, M.A.A. Annamalai Vs. State of Karnataka and another (2010) 8 SCC 524, Maharashtra State Electricity Distribution Company Limited and another Vs. Datar Switchgear Limited and others**

(2010) 10 SCC 479 and **Sharad Kumar Sanghi Vs. Sangita Rane (2015) 12 SCC 781.**

7. Per contra, learned counsel for opposite party no. 2 has placed reliance upon **Vishal Agrawal and another Vs. Chhattisgarh State Electricity Board and another, (2014) 3 SCC 696**, wherein it has been held that it is not necessary that complaint should be filed, rather the procedure contained in the Criminal Procedure Code would be applicable. It is further submitted that it was incumbent upon the petitioner under clause 4.44 of Electricity Supply Code, 2005 that in case of transfer of ownership or occupancy of the premises mutation has to be made. Petitioner has not moved any application for change of ownership. No information was given about merger of new company. It is further submitted that petition under section 482 Cr.P.C. is not legally maintainable. Question of fact could not be looked into by this Court and in petition under section 482 Cr.P.C. factual controversies could only be looked into by the learned trial court.

8. Section 151 of Electricity Act, 2003 reads as under:-

"151. Cognizance of offences.- No Court shall take cognizance of an offence punishable under this Act except upon a complaint in writing made by the Appropriate Government or Appropriate Commission or any of their officer authorized by them or a Chief Electrical Inspector or an Electrical Inspector or licensee or the generating company, as the case may be, for this purpose."

Rule 12 of Electricity Rules, 2005 reads as under:-

"12. Cognizance of the offence.- (1) The police shall take cognizance of the offence punishable under the Act on a complaint in writing made to the police by the appropriate Government or the appropriate Commission or any of their officers authorized by them in this regard or a Chief Electrical Inspector or an Electrical Inspector or an authorised officer of licensee or a generating company, as the case may be.

(2) The police shall investigate the complaint in accordance with the general law applicable to the investigation of any complaint. For the purpose of investigation of the complaint the police shall have all the powers as available under the Code of Criminal Procedure, 1973.

(3) The police shall, after investigation, forward the report alongwith the complaint filed under sub-clause (1) to the court for trial under the Act.

(4) Notwithstanding anything contained in sub-clause (1), (2) and (3) above, the complaint for taking cognizance of an offence punishable under the Act may also be filed by the appropriate Government or the appropriate Commission or any of their officers authorized by them or a Chief Electrical Inspector or an Electrical Inspector or an authorized officer of licensee or a generating company, as the case may be directly in the appropriate court.

(5) Notwithstanding anything contained in the Code of Criminal Procedure, 1973, every Special Court may take cognizance of an offence referred to in Sections 135 to 139 of the Act without the accused being committed to it for trial.

(6) the cognizance of the offence under the Act shall not in any way prejudice the actions under the provisions of the Indian Penal code."

Section 151 of the Electricity Act was further amended in 2007 and the proviso was added, namely:-

'provided that the court may also take cognizance of an offence punishable under this Act upon a report of a police officer filed under Section 173 of the Code of Criminal Procedure, 1973.

Provided further that a Special Court constituted under Section 153 shall be competent to take cognizance of an offence without the accused being committed to it for trial.'

Section 151-A was also added wherein all the powers as provided in Chapter XII of the Cr.P.C. were given to the police officer for investigation of the matter under the Act.

9. In **Vishal Agrawal (Supra)**, it was held by Hon'ble Apex Court in paras 20,21 and 23, which are reproduced here below:-

"20. Here the provisions of Section 4 of the Code become relevant which provide a complete answer to the submission of the appellant. It reads:

"4. Trial of offences under the Indian Penal Code and other laws:-

(1) All offences under the Indian Penal Code (45 of 1860) shall be investigated, inquired into, tried, and otherwise dealt with according to the provisions hereinafter contained.

(2) All offences under any other law shall be investigated, inquired into, tried, and otherwise dealt with according to the same provisions, but

subject to any enactment for the time being in force regulating the manner or place of investigating, inquiring into, trying or otherwise dealing with such offences."

21. It is apparent from the reading of Section 4 that provisions of the Code would be applicable where an offence under IPC or under any other law is being investigated, inquired into, tried or otherwise dealt with. These offences under any other law could also be investigated, inquired into or tried with according to the provisions of the Code except in case of an offence where the procedure prescribed thereunder is different than the procedure prescribed under the Code. It is so specifically provided under Section 155 of the Electricity Act also. Thus, it is not a case where any special or different procedure is prescribed. Rather, the procedure contained in the Code is made applicable for the offences to be tried under the Electricity Act as well .

23. Thus the clear principle which emerges from the aforesaid discussion is that even when a Magistrate is to take cognizance when a complaint is filed before it, that would not mean that no other avenue is open and the complaint/FIR cannot be lodged with the police. It is stated at the cost of repetition that the offences under the Electricity Act are also to be tried by applying the procedure contained in the Code. Thus, it cannot be said that a complete machinery is provided under the Electricity Act as to how such offences are to be dealt with. In view thereof, we are of the opinion that the respondent's counsel is right in his submission that if the offence under the Code is cognizable, provisions of Chapter XII containing Section 154 CrPC and onward would become applicable and it would be the duty of the police to register the FIR and investigate into the same. Sections 135 and 138 only prescribe that certain acts relating to theft of electricity, etc, would also be offences. It also enables certain persons/parties, as mentioned in Section 151, to become complainant in such cases and file complaint before a court in writing. When such a complaint is filed, the court would be competent to take cognizance straightway. However, that would not mean that other avenues for investigation into the offence which are available would be excluded. It is more so when no such special procedure for trying the offences under the Electricity Act is formulated and the cases under

this Act are also to be governed by the Code of Criminal Procedure."

10. In view of the law laid down by Hon'ble the Apex Court, it is trite law that a charge-sheet can be filed for an offence punishable under section 135 of the Act.

11. Learned counsel for the petitioner submits that the petitioner has resigned from the company namely; M/s Garg India Private Limited Company w.e.f. 4.11.1997. The said company was taken over by M/s Indo Prosoya Food Private Limited, Akarampur Unnao on 24.9.1998. Hence, he cannot be held liable for commission of any offence.

12. **Sunil Bharti Mittal's** case (**supra**) was a matter of 2G Spectrum Scam case wherein investigation was conducted by the CBI under the supervision of Hon'ble the Apex Court. In the said case, Hon'ble the Apex Court has held in para 42 as under:-

"42. No doubt, a corporate entity is an artificial person which acts through its officers, Directors, Managing Director, Chairman, etc. If such a company commits an offence involving mens rea, it would normally be the intent and action of that individual who would act on behalf of the company. It would be more so, when the criminal act is that of conspiracy. However, at the same time,

it is the cardinal principle of criminal jurisprudence that there is no vicarious liability unless the statute specifically provides so."

The facts of the present case are on different footing wherein the petitioner was Director of the company and tampering in the electricity meter was found. He has not informed the electricity department for change of ownership. He cannot escape his liability as such.

13. In **Maharashtra State Electricity (supra)**, it was held by Hon'ble Apex Court that it is settled proposition of law that one cannot draw a presumption that a Chairman of a company is responsible for all acts committed by or on behalf of the company.

14. In the present case, this law is not applicable as the petitioner was Director of the Company. Further he was the owner of the factory who absconded from the place of incident at the time of checking of the meter. Mandatory provisions for mutation under the Electricity Code were not followed. Still the electric connection is in the name of petitioner who could absolve himself from the liability.

15. **S.M.S Pharmaceuticals Ltd.(supra)** is a case on section 141 of Negotiable Instrument Act where

there is specific provision under section 141 of the Negotiable Instrument Act, which is distinguishable from the facts of the present case. In the said case, it was held that it is necessary to specifically aver in a complaint under Section 141 that at the time the offence was committed, the person accused was in charge of, and responsible for the conduct of business of the company. This averment is an essential requirement of section 141 and has to be made in a complaint. There is a mandatory provision which is to be complied with, but there is no such provision under section 135 of the Act fastening any responsibility upon the prosecution to make averment in the report.

16. Case of **M.A.A. Annamalai** (supra), also could not help the petitioner, wherein it has been held in para 37 as under:-

"37. We have carefully considered the rival contentions. It emerges that:

(a) In the instant case, the appellant ceased to be a Director of the company from 27.12.1997 whereas the alleged offences, if any, were committed during the period from 24.5.1998 to 17.9.1999.

(b) Admittedly, there are no allegations against the appellant in the First Information Report.

(c) The company had invited investment from the depositors to invest in the business/benefit funds after receiving due approval of the scheme from the Reserve Bank of India. Therefore, in

any event, the element of cheating as alleged cannot be made out by any stretch of imagination.

(d) The complainant/respondent no.2 submitted in writing to this Court that he does not want to proceed against the appellant because according to him the appellant has been inadvertently included as an accused by the Investigating Officer. He further mentioned in the letter that he had already received 55% of the deposited amount from the Official Liquidator and he did not want to proceed against the appellant.

e) Even assuming that there could have been a vicarious liability thrust on the appellant, even then there cannot be any such vicarious liability in absence of any allegations and material to show that the appellant was in-charge of or responsible for the conduct of the company's business which had given rise to the offence. From any angle of the matter, the appellant cannot be compelled to face the criminal trial in this case.

Clause 4.44 of Electricity Supply Code, 2005 provides the procedure for transfer of connection and mutation of names wherein it is provided that:-

"(a) Connection shall be transferred in the name of another person upon the death of the consumer or in case of transfer of ownership or occupancy of the premises, upon an application of the consumer.

(b) Application for mutation shall be filed, in the prescribed format (Annex 4.11), alongwith prescribed fee by the transferee or the legal heir or successor of the deceased consumer with the local office of the Licensee.

(c) The application shall be accompanied by documentary evidence of transfer or legal heir ship or succession and proof of no arrears on account of electricity charges on that connection.

(d) The Licensee shall decide the mutation case within 21 days. If the mutation application is allowed, intimation shall be sent to the applicant alongwith information regarding pending dues against the connection

and the formalities that are to be completed for transfer to take effect.

(e) However, if the mutation application is to be disallowed and mutation is refused, the orders shall be passed only after the applicant has been given an opportunity to present himself, by a speaking order. Provided further, that in case where mutation is not allowed, the transferee seeking the transfer, may agree to continue the connection in the Id name, or may have choice to seek permanent disconnection and apply for new connection.

(f) The transferee or the legal heir shall submit a fresh agreement, in the prescribed format, along with pending dues, if any, within 30 days. The transfer shall be affected and a copy of the agreement shall be sent to the consumer within 7 days.

(g) In case of PTW consumers, suo-moto mutation may be undertaken after taking the report from the Government revenue department. However the legal heir shall be responsible for clearing the electricity dues, and shall submit an affidavit to this effect."

17. Admittedly, no such proceedings took place for mutation or the transfer of connection. Name of the petitioner continued in the electricity connection maintained by the U.P. Power Corporation Ltd. The petitioner can raise the factual pleas before the learned trial court or can move application for discharge at appropriate stage. Learned trial court has taken the cognizance after applying his judicial mind on the basis of material produced before it.

18. I do not find any material illegality or irregularity in the impugned order.

19. Petition is devoid of merit and is accordingly
dismissed.

Order Date: 12.04.2017

GSY